This Preliminary Limited Offering Memorandum and the information contained herein are subject to completion and amendment. These securities may not be sold nor may offers to buy be accepted prior to the time Limited Offering Memorandum is delivered in final form. Under no circumstances shall this Preliminary Limited Offering Memorandum constitute an offer to sell or the solicitation of an offer to buy these securities nor shall there be any sale of these securities in any jurisdiction in which such offer, solicitation or sale would be unlawful prior to registration or qualification under the securities laws of any such jurisdiction.

**PRELIMINARY LIMITED OFFERING MEMORANDUM DATED JANUARY 9, 2008**

**NEW ISSUE — BOOK-ENTRY ONLY** **NOT RATED**

*In the opinion of Barnes & Thornburg LLP, Chicago, Illinois, under existing laws, interest on the Bonds (as hereinafter defined) is excludable from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended and in effect on the date of issuance of the Bonds. Interest on the Bonds is not exempt from income taxation in the State of Illinois. See "TAX MATTERS" and APPENDIX E herein.*

# $8,480,000*
# ILLINOIS FINANCE AUTHORITY
## SPORTS FACILITY REVENUE BONDS
## (NORTH SHORE ICE ARENA PROJECT)
## SERIES 2008

**Dated:** Date of Issuance **Maturity Date:** December 1, as shown below

The Illinois Finance Authority (the "Issuer"), a body politic and corporate duly organized and validly existing under the laws of the State of Illinois (the "State"), is issuing its Sports Facility Revenue Bonds (North Shore Ice Arena Project), Series 2008 (the "Bonds") for the purpose of making a loan to North Shore Ice Arena, LLC an Illinois limited liability company (the "Borrower"), pursuant to a Loan Agreement dated as of January 1, 2008 (the "Loan Agreement") among the Issuer, the Borrower and Wilmette Hockey Association, Inc., an Illinois not-for-profit corporation (the "Wilmette Hockey Association") and Winnetka Hockey Club, Inc., an Illinois not-for-profit corporation ("Winnetka Hockey Club" and, together with Wilmette Hockey Association, the "Guarantors"), to finance a portion of the costs of the construction and equipping of an ice skating facility located in Northbrook, Illinois (the "Project") to be owned and operated by the Borrower. Proceeds of the Bonds will also be used to pay capitalized interest on the Bonds through December 1, 2008*, to fund a debt service reserve fund, and to pay the costs of issuing the Bonds. Payment of the principal of and premium, if any, and interest on the Bonds will be guaranteed by the Guarantors pursuant to a Guaranty Agreement dated as of January 1, 2008 (the "Guaranty") from the Guarantors to the Trustee. In addition, the Bonds will be secured by a Leasehold Mortgage, Assignment of Lessee and Rents, Security Agreement, and Fixture Filing dated as of January 1, 2008 (the "Leasehold Mortgage") from the Borrower to the Trustee relating to the Project. The Bonds will bear interest at the per annum rates set forth below from their dated date to maturity or such earlier redemption as described herein.

THIS LIMITED OFFERING MEMORANDUM IS BEING FURNISHED SOLELY FOR CONSIDERATION BY QUALIFIED INSTITUTIONAL BUYERS AND ACCREDITED INVESTORS (BOTH AS DEFINED UNDER FEDERAL SECURITIES LAWS). PURCHASE OF THE BONDS WILL CONSTITUTE AN INVESTMENT SECURED SOLELY BY A PLEDGE OF REVENUES AND INCOME DERIVED FROM THE LOAN AGREEMENT, THE GUARANTY AND THE LEASEHOLD MORTGAGE. THE PURCHASE OF THE BONDS IS AN INVESTMENT SUBJECT TO A HIGH DEGREE OF RISK, INCLUDING THE RISK OF NON-PAYMENT OF PRINCIPAL AND INTEREST. ALL SALES AND SUBSEQUENT TRANSFERS SHOULD BE MADE ONLY TO QUALIFIED INSTITUTIONAL BUYERS AND ACCREDITED INVESTORS.

The Bonds are issuable as fully registered bonds without coupons, in denominations of $25,000 and any integral multiple of $5,000 in excess thereof. When issued, the Bonds will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). The principal of, premium, if any, and interest (payable on June 1 and December 1 of each year, commencing June 1, 2008) on the Bonds are payable by Amalgamated Bank of Chicago, as trustee (the "Trustee") to DTC, which will remit such principal, premium, if any, and interest to the DTC participants, who in turn will be responsible for remitting such payments to the Beneficial Owners of the Bonds.

THE BONDS ARE BEING ISSUED PURSUANT TO THE ILLINOIS FINANCE AUTHORITY ACT, 20 ILCS 3501/801 ET SEQ., AS SUPPLEMENTED AND AMENDED (THE "ACT"). THE BONDS, TOGETHER WITH INTEREST THEREON AND REDEMPTION PREMIUM, IF ANY, WITH RESPECT THERETO, ARE SPECIAL, LIMITED OBLIGATIONS OF THE ISSUER SECURED BY THE LOAN AGREEMENT, THE GUARANTY AND THE LEASEHOLD MORTGAGE AND SHALL ALWAYS BE PAYABLE SOLELY FROM THE REVENUES AND INCOME DERIVED FROM THE LOAN AGREEMENT, THE GUARANTY AND THE LEASEHOLD MORTGAGE (EXCEPT TO THE EXTENT PAID OUT OF MONEYS ATTRIBUTABLE TO PROCEEDS OF THE BONDS, OR THE INCOME FROM THE TEMPORARY INVESTMENT THEREOF), ARE AND SHALL ALWAYS BE A VALID CLAIM OF THE OWNER THEREOF ONLY AGAINST THE REVENUES AND INCOME DERIVED FROM THE LOAN AGREEMENT, THE GUARANTY AND THE LEASEHOLD MORTGAGE, WHICH REVENUES AND INCOME SHALL BE USED FOR NO OTHER PURPOSE THAN TO PAY THE PRINCIPAL INSTALLMENTS OF REDEMPTION PREMIUM, IF ANY, AND INTEREST ON THE BONDS, EXCEPT AS MAY BE EXPRESSLY AUTHORIZED OTHERWISE IN THE INDENTURE AND IN THE LOAN AGREEMENT. THE BONDS AND THE OBLIGATION TO PAY INTEREST THEREON AND REDEMPTION PREMIUMS WITH RESPECT THERETO DO NOT NOW AND SHALL NEVER CONSTITUTE AN INDEBTEDNESS OR AN OBLIGATION, GENERAL OR MORAL, OR A PLEDGE OF THE FAITH OR LOAN OF CREDIT OF THE ISSUER, THE STATE OF ILLINOIS OR ANY POLITICAL SUBDIVISION THEREOF, WITHIN THE PURVIEW OF ANY CONSTITUTIONAL LIMITATION OR PROVISION, OR A CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS, IF ANY, OF ANY OF THEM, BUT SHALL BE SECURED AS AFORESAID, AND SHALL BE PAYABLE SOLELY FROM THE REVENUES AND INCOME DERIVED FROM THE LOAN AGREEMENT, THE GUARANTY AND THE LEASEHOLD MORTGAGE (EXCEPT AS STATED AFORESAID). NO OWNER OF THE BONDS SHALL HAVE THE RIGHT TO COMPEL THE TAXING POWER, IF ANY, OF THE ISSUER, THE STATE OF ILLINOIS OR ANY POLITICAL SUBDIVISION THEREOF TO PAY ANY PRINCIPAL INSTALLMENT OF, REDEMPTION PREMIUM, IF ANY, OR INTEREST ON THE BONDS. THE ISSUER HAS NO TAXING POWER.

The Bonds are subject to mandatory and optional redemption prior to maturity as described herein.

**Maturity Schedule**

**$1,230,000* _____% Term Bonds Due December 1, 2018*— Price _____%**
**$2,350,000* _____% Term Bonds Due December 1, 2028*— Price _____%**
**$3,400,000* _____% Term Bonds Due December 1, 2038*— Price _____%**

**$1,500,000* _____% Special Optional Redemption Term Bonds Due June 1, 2038*— Price _____%**

*The Bonds are offered for delivery, subject to prior sale, withdrawal or modification of the offer without notice and subject to the approval of legality by Barnes & Thornburg LLP, Chicago, Illinois, as Bond Counsel, and to certain other conditions. Certain legal matters are being passed upon for the Issuer by Burke, Burns & Pinelli, Ltd., Chicago, Illinois, for the Underwriter by McGuireWoods LLP, Chicago, Illinois, and for the Borrower and the Guarantors by Greenberg Traurig, LLP, Chicago, Illinois. Delivery of the Bonds is expected on or about _____, 20___, through the facilities of DTC.*

OPPENHEIMER

January 9, 2008

* Preliminary, subject to change.

## LIMITED OFFERING MEMORANDUM

This Limited Offering Memorandum is being furnished to a limited number of qualified institutional buyers as defined in Rule 144A under the Securities Act of 1933 (the "Securities Act") and accredited investors as defined under Regulation D of the Securities Act, or registered investment companies under the Investment Company Act of 1940 solely for the purpose of each investor's consideration of the purchase of the Bonds described herein, and is not to be used for any other purpose or made available to anyone not directly concerned with the decision regarding such purchase. This Limited Offering Memorandum does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person, in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale. Interested investors are being provided the opportunity to ask such questions and examine such documents and records as they may desire, and are advised to contact the Underwriter to secure further information concerning the Bonds.

The information set forth herein relating to the Issuer under the heading "THE ISSUER" and "LITIGATION" has been obtained from the Issuer, and all other information herein has been obtained by the Underwriter from the Borrower, the Guarantors, the Underwriter and other sources deemed by the Underwriter to be reliable, but is not to be construed as a representation by the Issuer or the Underwriter. The Issuer has not reviewed or approved any information in this Limited Offering Memorandum except information relating to the Issuer under the heading "THE ISSUER" and "LITIGATION." Certain information contained herein has been obtained from the Borrower, the Guarantors and other sources which are believed by the Underwriter to be reliable. In accordance with, and as part of, its responsibilities to investors under the federal securities laws, as applied to the facts and circumstances of this transaction, the Underwriter has reviewed the information in this Limited Offering Memorandum, but does not guarantee the accuracy or completeness of such information. The information herein is subject to change without notice, and neither the delivery of this Limited Offering Memorandum nor any sale made hereunder shall under any circumstances create any implication that there has been no change in the affairs of the Issuer, the Borrower or the Guarantors since the date of this Limited Offering Memorandum or that the information herein is correct as of any time subsequent to the date hereof.

No dealer, broker, salesman or other person has been authorized to give any information or to make any representation other than as contained in this Limited Offering Memorandum, and, if given or made, such information or representation must not be relied upon as having been authorized.

This Limited Offering Memorandum should be considered in its entirety and no one factor should be considered more or less important than any other by reason of its position in this Limited Offering Memorandum. Where statutes, reports, agreements or other documents are referred to herein, reference should be made to such statutes, reports, agreements or other documents for more complete information regarding the rights and obligations of parties thereto, facts and opinions contained therein and the subject matter thereof.

This Limited Offering Memorandum contains certain "forward-looking statements" concerning the operations and financial condition of the Borrower and the Guarantors. These statements are based upon a number of assumptions and estimates which are subject to significant uncertainties, many of which are beyond the control of the Borrower and the Guarantors. The words "may," "would," "could," "will," "expect," "anticipate," "believe," "intend," "plan," "estimate" and similar expressions are meant to identify these forward-looking statements. The achievement of certain results or other expectations contained in such forward-looking statements involves known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Borrower and the Guarantors do not plan to issue any updates or revisions to these forward-looking statements if or when changes to their expectations, or events, conditions or circumstances on which such statements are based, occur.

The Bonds have not been registered under the Securities Act of 1933, as amended, in reliance upon exemptions contained in such act. The registration or qualification of the Bonds in accordance with the applicable provisions of securities laws of the states in which the Bonds have been registered or qualified and the exemption from registration or qualification in other states cannot be regarded as a recommendation thereof. **NEITHER THE SECURITIES AND EXCHANGE COMMISSION NOR ANY STATE SECURITIES COMMISSION HAS APPROVED OR DISAPPROVED OF THE BONDS OR PASSED UPON THE ADEQUACY OR**

**ACCURACY OF THIS LIMITED OFFERING MEMORANDUM. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.**

THE BONDS HAVE RISK CHARACTERISTICS THAT REQUIRE CAREFUL ANALYSIS AND CONSIDERATION BEFORE A DECISION TO PURCHASE IS MADE. THE BONDS SHOULD BE PURCHASED BY INVESTORS WHO HAVE ADEQUATE EXPERIENCE TO EVALUATE THE MERITS AND RISKS OF THE BONDS. EACH PROSPECTIVE INVESTOR SHOULD CONSULT ITS OWN COUNSEL, ACCOUNTANT AND OTHER ADVISORS AS TO FINANCIAL, LEGAL AND RELATED MATTERS CONCERNING THE INVESTMENT DESCRIBED HEREIN.

There can be no guarantee that there will be a secondary market for the Bonds or, if a secondary market exists, that it would continue to exist or that the Bonds could in any event be sold for any particular price.

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## TABLE OF CONTENTS


INTRODUCTION ..... 1
THE BONDS ..... 3
SECURITY AND SOURCES OF PAYMENT FOR THE BONDS ..... 9
THE ISSUER ..... 14
THE BORROWER AND THE GUARANTORS ..... 15
THE PROJECT ..... 15
MARKET FEASIBILITY STUDY ..... 17
ESTIMATED SOURCES AND USES OF FUNDS ..... 18
RISKS TO BONDHOLDERS ..... 19
CONTINUING DISCLOSURE ..... 24
TAX MATTERS ..... 25
UNDERWRITING ..... 25
LEGAL MATTERS ..... 26
LIMITED OFFERING ..... 26
NO RATING ..... 26
LITIGATION ..... 26
INDEPENDENT AUDITORS ..... 26
MISCELLANEOUS ..... 27
AUTHORIZATION ..... 27

APPENDIX A Information Regarding the Borrower and the Guarantors
APPENDIX B Financial Statements of the Guarantors
APPENDIX C Feasibility Study
APPENDIX D Summary of Principal Documents
APPENDIX E Form of Opinion of Bond Counsel


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**LIMITED OFFERING MEMORANDUM**
**RELATING TO**

**$8,480,000***
**ILLINOIS FINANCE AUTHORITY**
**SPORTS FACILITY REVENUE BONDS**
**(NORTH SHORE ICE ARENA PROJECT)**
**SERIES 2008**

## INTRODUCTION

This Limited Offering Memorandum, which includes the cover page and Appendices hereto, is furnished in connection with the issuance by the Illinois Finance Authority (the "Issuer") of $8,480,000* aggregate principal amount of its Sports Facility Revenue Bonds (North Shore Ice Arena Project), Series 2008 (the "Bonds"). This Limited Offering Memorandum should be read in its entirety.

**The Bonds**. The Bonds are being issued by the Issuer pursuant to (i) the Illinois Finance Authority Act, 20 ILCS 3501/801 et seq., as supplemented and amended (the "Act"); (ii) a resolution duly adopted by the Issuer on October 9, 2007 (the "Bond Resolution"); and (iii) a Trust Indenture dated as of January 1, 2008 (the "Indenture") by and between the Issuer and Amalgamated Bank of Chicago, as trustee (the "Trustee"). The proceeds of the sale of the Bonds will be loaned to North Shore Ice Arena, LLC, an Illinois limited liability company (the "Borrower"), pursuant to that certain Loan Agreement dated as of January 1, 2008 (the "Loan Agreement") by and among the Issuer, the Borrower and Wilmette Hockey Association, Inc., an Illinois not-for-profit corporation ("Wilmette Hockey Association") and Winnetka Hockey Club, Inc., an Illinois not-for-profit corporation ("Winnetka Hockey Club" and, together with Wilmette Hockey Association, the "Guarantors"), for the purpose of financing a portion of the costs of the construction and equipping of an approximately 47,000 square foot ice skating facility in Northbrook, Illinois (the "Project") to be owned and operated by the Borrower, the sole member of which is Wilmette Hockey Association. Proceeds of the Bonds will also be used to pay capitalized interest on the Bonds through December 1, 2008*, to fund a debt service reserve fund, and to pay the costs of issuing the Bonds. Capitalized terms used herein without definition shall have the meaning accorded such terms in the Indenture, a summary of which is included in APPENDIX D hereto.

**THE BONDS ARE BEING ISSUED PURSUANT TO THE ACT. THE BONDS, TOGETHER WITH INTEREST THEREON AND REDEMPTION PREMIUM, IF ANY, WITH RESPECT THERETO, ARE SPECIAL, LIMITED OBLIGATIONS OF THE ISSUER SECURED BY THE LOAN AGREEMENT, THE GUARANTY AND THE LEASEHOLD MORTGAGE (EACH AS HEREINAFTER DEFINED) AND SHALL ALWAYS BE PAYABLE SOLELY FROM THE REVENUES AND INCOME DERIVED FROM THE LOAN AGREEMENT, THE GUARANTY AND THE LEASEHOLD MORTGAGE (EXCEPT TO THE EXTENT PAID OUT OF MONEYS ATTRIBUTABLE TO PROCEEDS OF THE BONDS OR THE INCOME FROM THE TEMPORARY INVESTMENT THEREOF), ARE AND SHALL ALWAYS BE A VALID CLAIM OF THE OWNER THEREOF ONLY AGAINST THE REVENUES AND INCOME DERIVED FROM THE LOAN AGREEMENT, THE GUARANTY AND THE LEASEHOLD MORTGAGE, WHICH REVENUES AND INCOME SHALL BE USED FOR NO OTHER PURPOSE THAN TO PAY THE PRINCIPAL INSTALLMENTS OF, REDEMPTION PREMIUM, IF ANY, AND INTEREST ON THE BONDS, EXCEPT AS MAY BE EXPRESSLY AUTHORIZED OTHERWISE IN THE INDENTURE AND IN THE LOAN AGREEMENT. THE BONDS AND THE OBLIGATION TO PAY INTEREST THEREON AND REDEMPTION PREMIUMS WITH RESPECT THERETO DO NOT NOW AND SHALL NEVER CONSTITUTE AN INDEBTEDNESS OR AN OBLIGATION, GENERAL OR MORAL, OR A PLEDGE OF THE FAITH OR LOAN OF CREDIT OF THE ISSUER, THE STATE OF ILLINOIS OR ANY POLITICAL SUBDIVISION THEREOF, WITHIN THE PURVIEW OF ANY CONSTITUTIONAL LIMITATION OR PROVISION, OR A CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS, IF ANY, OF ANY OF THEM, BUT SHALL BE SECURED AS AFORESAID, AND SHALL BE PAYABLE SOLELY**

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**Preliminary, subject to change.*

**FROM THE REVENUES AND INCOME DERIVED FROM THE LOAN AGREEMENT, THE GUARANTY AND THE LEASEHOLD MORTGAGE (EXCEPT AS STATED AFORESAID). NO OWNER OF THE BONDS SHALL HAVE THE RIGHT TO COMPEL THE TAXING POWER, IF ANY, OF THE ISSUER, THE STATE OF ILLINOIS OR ANY POLITICAL SUBDIVISION THEREOF TO PAY ANY PRINCIPAL INSTALLMENT OF, REDEMPTION PREMIUM, IF ANY, OR INTEREST ON THE BONDS. THE ISSUER HAS NO TAXING POWER.**

**THE ISSUER MAKES NO WARRANTY OR REPRESENTATION, WHETHER EXPRESS OR IMPLIED, WITH RESPECT TO THE PROJECT OR THE LOCATION, USE, OPERATION, DESIGN, MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, CONDITION OR DURABILITY THEREOF.**

This Limited Offering Memorandum contains brief descriptions of, among other things, the Bonds and the Project. Such descriptions do not purport to be comprehensive or definitive. Certain information with respect to the Borrower and the Guarantors including projections with respect to the Project is attached hereto as APPENDIX A. The audited financial statements of the Guarantors are attached hereto as APPENDIX B. A market feasibility study for the Project is attached hereto as APPENDIX C. Summaries of the principal financing documents are attached hereto as APPENDIX D. The proposed form of opinion of Bond Counsel is attached hereto as APPENDIX E. All descriptions herein of the Indenture, the Leasehold Mortgage (defined herein), the Guaranty and all other documents described herein are qualified in their entirety by reference to such documents, copies of which are available for inspection at the office of the Trustee. During the period of the offering, copies of such documents may be obtained from Oppenheimer & Co. Inc.. The description herein of the Bonds is qualified in its entirety by reference to the form thereof included in the Indenture and the provisions of the aforementioned documents.

**Security and Sources of Payment for the Bonds**. The Bonds are limited obligations of the Issuer, payable solely from and secured by (i) amounts paid by the Borrower under the Loan Agreement to the Issuer and assigned to the Trustee, (ii) an assignment of all of the Issuer's rights (except for certain limited rights of the Issuer) under the Loan Agreement, and (iii) a pledge of and security interest in any right of the Issuer in and to all moneys and investments held in the funds and accounts established under the Indenture (excluding the Rebate Fund). The obligations of the Borrower under the Loan Agreement for the payment of the Bonds are also secured by a Leasehold Mortgage, Assignment of Leases and Rents, Security Agreement, and Fixture Filing dated as of January 1, 2008 (the "Leasehold Mortgage") from the Borrower to the Trustee. Payment of the principal of, premium, if any, and interest on the Bonds is guaranteed by the Guarantors pursuant to the terms of a Guaranty Agreement dated as of January 1, 2008 (the "Guaranty") from the Guarantors to the Trustee.

**The Project**. The Project consists of the construction and installation, including design and engineering and other qualifying costs, of an approximately 47,000 square foot ice skating facility located in Northbrook, Illinois to be owned and operated by the Borrower. See "THE PROJECT" herein.

**Risks to Bondholders**. These Bonds have risk characteristics that require careful analysis and consideration before a decision to purchase is made. Investment in the Bonds carries a substantial risk with respect to the payment of principal and interest. The generation of sufficient revenues to pay required debt service on the Bonds is dependent upon a number of different factors. See "RISKS TO BONDHOLDERS" herein.

**Continuing Disclosure**. The Bonds are subject to the requirements imposed by Rule 15c2-12 of the Securities and Exchange Commission. The Borrower has agreed, pursuant to the terms of a Continuing Disclosure Agreement, to provide certain ongoing information to Bondholders regarding operating and financial information. The Issuer, however, will not provide or cause to be provided such ongoing information. See "CONTINUING DISCLOSURE" herein.

**Tax Matters**. Bond Counsel will deliver an opinion in substantially the form attached hereto as APPENDIX E providing that, subject to continuing compliance with certain requirements of the Code, interest on the Bonds is excludable from gross income for federal income tax purposes. Interest on the Bonds is not exempt from income taxation in the State of Illinois.

**No Rating**. No rating has been sought or provided for the Bonds. This may adversely affect the ability to transfer or otherwise sell the Bonds in the secondary market. See "RISKS TO BONDHOLDERS – Lack of Rating and Market for the Bonds" and "NO RATING" herein.

**Capitalized Terms**. Capitalized terms which are used in this Limited Offering Memorandum and not otherwise defined herein shall have the meanings specified in the summary of the Indenture set forth in APPENDIX D hereto.

## THE BONDS

### General

The Bonds are being issued under and secured by the Indenture. A summary of the Indenture is set forth in APPENDIX D. The Bonds will be issued as fully registered bonds in the denominations of $25,000 and any integral multiple of $5,000 in excess thereof. The Bonds will be dated and will bear interest from the date of issuance thereof, payable on June 1 and December 1 of each year commencing June 1, 2008 (each, an "Interest Payment Date"). The Bonds will bear interest at the rates and mature on the dates and in the principal amounts as set forth on the cover hereof

The principal of, and premium, if any, on the Bonds shall be payable upon presentation of the Bonds at the designated corporate trust office of the Trustee in Chicago, Illinois or its successor in trust. Payment of interest on any Bond shall be made to the owner thereof and shall be made payable by check or draft mailed or delivered by the Trustee to the Owners as the same appear on the registration books of the Issuer maintained by the Trustee as of the Record Date.

The Bonds shall bear interest until the principal thereof shall have become due, whether at maturity, upon redemption or otherwise. Interest on the Bonds shall be paid in arrears on each Interest Payment Date, and at maturity or upon redemption prior to maturity. Interest on the Bonds shall be computed upon the basis of a 360-day year, consisting of twelve 30-day months.

### Additional Bonds

One or more series of Additional Bonds may be issued on a parity with or subordinate to the Bonds, and may be authorized and delivered for the purposes of completing the Project, modifying, refurbishing, upgrading or adding to the Project or to refund any Bonds, at the discretion of the Issuer. Additional Bonds may be issued only at the written direction of the Borrower, and prior to the delivery of any Additional Bonds there shall be filed with the Trustee all of the following:

(i) A supplement to the Indenture executed by the Issuer and the Trustee creating such Additional Bonds and specifying the terms thereof in accordance with the Indenture including, without limitation, for non-refunding Bonds, requisition and other withdrawal requirements relating to draws to be made from the related project fund created under the applicable supplemental indenture.

(i) A supplement to the Loan Agreement executed by the Issuer and the Borrower whereby the Borrower acknowledges the issuance of such Bonds and agrees to change its payments to cover debt service on such Bonds.

(iii) A supplement to the Guaranty executed by the Guarantors and the Trustee whereby the Guarantors acknowledge the issuance of such Bonds and agree to change its payments to cover debt service on such Bonds.

(iv) A certificate executed by an authorized Borrower representative stating that (A) no Event of Default under the Indenture, the Loan Agreement or the Leasehold Mortgage has occurred and is continuing and no event which with the passage of time or notice of both would constitute an Event of Default has occurred and (B) all required deposits to Funds and Accounts under the Indenture are current or would be made current by the issuance of such Bonds.

(v) A supplement to the Leasehold Mortgage reflecting that the Leasehold Mortgage secures the Additional Bonds.

(vi) An opinion of Bond Counsel to the effect that (1) the issuance of such Additional Bonds will not adversely affect the tax exempt status of interest on the then Outstanding Bonds and (2) such supplements to the Indenture and the Loan Agreement have been duly authorized, executed and delivered by the Issuer and constitute the valid and binding obligations of the Issuer.

(vii) An Opinion of Counsel to the Borrower and to the Guarantors to the effect that the supplements to the Loan Agreement and the Guaranty have been duly authorized, executed and delivered by the Borrower and the Guarantors, respectively, and each constitutes the valid and binding obligation of such party.

(viii) A written request of an Authorized Issuer Representative to the Trustee to authenticate and deliver such Additional Bonds.

(ix) In the case of Additional Bonds issued for purposes other than to refund Bonds, a written report prepared by a nationally recognized feasibility consultant acceptable to the Trustee stating either:

(A) that the Historical Debt Service Coverage Ratio of the Borrower (as defined in APPENDIX D hereto) (calculated by including the maximum annual debt service with respect to the Additional Bonds in the amount of Debt Service Requirements (as defined in APPENDIX D hereto) used in determining the Historical Debt Service Coverage Ratio) for the two preceding Fiscal Years was at least 1.25, or

(B) that the Projected Debt Service Coverage Ratio (as defined in APPENDIX D hereto) of the Borrower for the next five Fiscal Years is at least 1.25 for each of such Fiscal Years.

**Redemption**

Optional Redemption. The Bonds are subject to redemption at the option of the Issuer upon written direction of the Borrower in whole or in part on any date on or after December 1, 2018* from optional prepayments made by the Borrower under the Loan Agreement and deposited in the Optional Redemption Fund at the redemption price of par plus accrued interest to the redemption date. No optional redemption of less than all of the Bonds shall be made unless the aggregate amount of Bonds to be redeemed is equal to or greater than $25,000 and is an integral multiple of $5,000.

See "SECURITY AND SOURCES OF PAYMENTS FOR THE BONDS - Funds and Accounts - Operation Reserve Fund" for a description of certain provisions requiring moneys in the Operation Reserve Fund to be used to redeem Bonds on or after December 1, 2018.*

Special Optional Redemption of Term Bonds Due June 1, 2038.*

The Bonds maturing on June 1, 2038* are subject to redemption prior to maturity on June 1, 2008, December 1, 2008, June 1, 2009 and December 1, 2009 at the option of the Issuer upon written direction of the Borrower out of amounts prepaid on the Loan and deposited in the June 1, 2038 Bond Optional Redemption Account, in whole or in part at any time, and if in part by portions designated by the Borrower, at the redemption price of par, plus accrued interest thereon to the date of redemption.

Mandatory Sinking Fund Redemption. The Bonds maturing on December 1, 2018* are subject to mandatory sinking fund redemption annually on December 1 in the years and in the principal amounts set forth below. Each redemption shall be at a redemption price of par plus accrued interest to the redemption date.

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*Preliminary, subject to change.*

| Year | Principal Amount | Year | Principal Amount |
|---|---|---|---|
| | $_____ | | $_____ |
| | _____ | | _____ |
| | _____ | | _____ |
| | _____ | | _____ |

*Final Maturity

The Bonds maturing on December 1, 2028* are subject to mandatory sinking fund redemption annually on December 1 in the years and in the principal amounts set forth below. Each redemption shall be at a redemption price of par plus accrued interest to the redemption date.

| Year | Principal Amount | Year | Principal Amount |
|---|---|---|---|
| | $_____ | | $_____ |
| | _____ | | _____ |
| | _____ | | _____ |
| | _____ | | _____ |
| | _____ | | _____ |

*Final Maturity

The Bonds maturing on June 1, 2038* are subject to mandatory sinking fund redemption annually on December 1 in the years and in the principal amounts set forth below. Each redemption shall be at a redemption price of par plus accrued interest to the redemption date.

| Year | Principal Amount | Year | Principal Amount |
|---|---|---|---|
| | $_____ | | $_____ |
| | _____ | | _____ |
| | _____ | | _____ |
| | _____ | | _____ |
| | _____ | | _____ |

*Final Maturity

The Bonds maturing on December 1, 2038* are subject to mandatory sinking fund redemption annually on December 1 in the years and in the principal amounts set forth below. Each redemption shall be at a redemption price of par plus accrued interest to the redemption date.

| Year | Principal Amount | Year | Principal Amount |
|---|---|---|---|
| | $_____ | | $_____ |
| | _____ | | _____ |
| | _____ | | _____ |
| | _____ | | _____ |
| | _____ | | _____ |

*Final Maturity

The principal amount of any Bonds redeemed pursuant to the Indenture and as described herein under "THE BONDS – Redemption-Optional Redemption" and "THE BONDS – Redemption-Redemption upon Casualty or Condemnation" shall be applied against the principal amount of Bonds to be redeemed pursuant to the Indenture and as described herein under "THE BONDS – Redemption-Mandatory Sinking Fund Redemption" as specified in writing by the Borrower to the Trustee and, in the absence of such direction, in the inverse order of maturity and by lot within a maturity.

Redemption upon Casualty or Condemnation. The Bonds are subject to redemption prior to maturity, in whole or in part on any date, at a redemption price of par, plus accrued interest to the Redemption Date, and without premium, in the event of damage to or destruction of the Project or any part thereof or condemnation or sale

*Preliminary, subject to change.*

consummated under threat of condemnation of the Project or any part thereof, if the amount of Net Proceeds of insurance, condemnation or sale received in connection therewith and applied to make prepayments on the Loan (as opposed to the rebuilding of the Project) exceeds $1,000,000. In the event not all of the Bonds and any series of Additional Bonds are to be paid in full upon the occurrence of such event, the principal amount of each maturity of Bonds to be redeemed shall be specified by the Borrower and, in the absence of such direction, in the inverse order of maturity and by lot within a maturity.

Redemption of Bonds Upon a Determination of Taxability. The Bonds are subject to special mandatory redemption, at a redemption price of 103% of the principal amount of the Bonds being redeemed, plus accrued interest, if any, to the redemption date, not later than 180 days after the occurrence of a Determination of Taxability.

A "Determination of Taxability" means a determination that the interest payable on any of the Bonds is includible for federal income tax purposes in the gross income of the holder thereof, which determination shall be deemed to have been made with respect to a Bond upon the occurrence of the first of the following events: (a) the date on which the Borrower or a Guarantor determines that the interest payable on the Bonds is includible for federal income tax purposes in the gross income of the holders thereof; (b) the date on which the Internal Revenue Service issues any private ruling, technical advice or any other substantially equivalent written communication to the effect that the interest payable on the Bonds is includible for federal income tax purposes in the gross income of the holder thereof; (c) the date on which the Borrower and/or a Guarantor shall receive notice from the Trustee in writing that the Trustee has been advised in writing by the holder of the Bonds that the Internal Revenue Service has issued a 30-day letter or other formal written determination (a copy of which shall have been provided by such holder to the Trustee) which asserts that the interest payable on the Bonds is includible for federal income tax purposes in the gross income of the holder; or (d) the date on which the Trustee receives written notice that the Borrower or a Guarantor has taken any action or has failed to take any action the effect of which is to cause the interest payable on the Bonds to become includible for federal income tax purposes in the gross income of the holder thereof; provided, however, that in the event of a good faith appeal, protest or contest to the Internal Revenue Service or any court, governmental agency, authority or arbitrator, as appropriate, or the filing with the Internal Revenue Service of a request for ruling or other advice initiated by the Borrower or a Guarantor within 60 days after the earlier of the dates referred to in clauses (b), (c) or (d) above, no Determination of Taxability shall be deemed to have occurred until the date upon which all such appeals, protests, contests, or requests pursued with due diligence by the Borrower or the Guarantors have been exhausted.

**Procedure for Redemption**

Official notice of redemption will be given by the Trustee on behalf of the Issuer by mailing a copy of an official redemption notice by first class mail, postage prepaid, to the registered owner of each Bond to be redeemed, at the address of such registered owner shown on the Bond Register, not less than 30 nor more than 60 days prior to the date fixed for redemption. Failure to duly give official notice of redemption by mail or any defect therein will not affect the validity of the proceedings for the redemption of any Bond or Bonds.

Except for a mandatory sinking fund redemption, prior to the date that a redemption notice is first mailed, funds shall be placed with the Trustee to pay the principal of such Bonds and accrued interest thereon to the redemption date and the premium, if any, or such notice shall state that any redemption is conditional on such funds being deposited with the Trustee on the redemption date and that a failure to make such deposit shall not constitute an event of default under the Indenture. Upon the happening of the above conditions (and the deposit of sufficient funds in the case of a conditional notice), the Bonds, or portions thereof, thus called for redemption will not bear interest after the applicable redemption date, will no longer be protected by the Indenture and will not be deemed to be outstanding under the provisions of the Indenture.

**Selection of Bonds to be Redeemed**

Except as otherwise provided in the Indenture, if less than all the Bonds are called for redemption, the Bonds to be redeemed will be selected by the Trustee in inverse order of maturity and, within a maturity, by lot. To the extent possible, the Trustee will select Bonds for redemption such that the principal amount of each Bond remaining Outstanding after such redemption is an Authorized Denomination.

In case part but not all of an Outstanding Bond are selected for redemption, the registered owner thereof or his attorney or legal representative will present and surrender such Bond to the Trustee for payment of the principal amount of such Bond so called for redemption, and the Issuer will execute and the Trustee will authenticate and deliver to or upon the order to such registered owner or such registered owner's attorney or legal representative, without charge therefore, for the unredeemed portion of the Bond so surrendered a Bond of the same maturity and bearing interest at the same rate.

**Registration, Transfer and Exchange**

The Trustee as Registrar will cause a Bond Register to be kept for the registration of transfers of Bonds. Any Bond may be transferred only upon an assignment duly executed by the registered owner or such registered owner's duly authorized representative in such form as shall be satisfactory to the Registrar, and upon surrender of such Bond to the Trustee for cancellation. Whenever any Bond or Bonds are surrendered for transfer at the designated office of the Trustee, the Issuer will execute and the Trustee will authenticate and deliver in the name of the transferee or transferees a new fully registered Bond or Bonds, without coupons, of the same series and maturity and of authorized denominations for the aggregate principal amount which the registered owner is entitled to receive.

Any Bond may, in accordance with its terms, be exchanged, at the office of the Trustee, for a like aggregate principal amount of Bond or Bonds, of the same series and the same maturity, of any authorized denomination or denominations. The execution by the Issuer of any Bond shall constitute full and due authorization of such Bond, and the Trustee shall thereby be authorized to authenticate, date and deliver such Bond.

All Bonds presented for transfer or exchange shall be accompanied by a written instrument or instruments of transfer or authorization for exchange, in form and with guaranty of signature satisfactory to the Trustee, duly executed by the registered owner or by such owner's duly authorized attorney.

No service charge shall be imposed upon the owner of any Bond for any exchange or transfer of Bonds. In all cases in which Bonds are transferred or exchanged under the Indenture, the Trustee may make a charge sufficient to reimburse it for any tax, fee or other governmental charge required to be paid with respect to such transfer or exchange.

All Bonds issued upon any transfer or exchange of Bonds will be the valid obligations of the Issuer, evidencing the same debt as the Bonds surrendered, will be secured by the Indenture and will be entitled to all of the security and benefits under the Indenture as the Bonds surrendered upon transfer or exchange. Neither the Issuer nor the Trustee will be required to make any exchange or transfer of a Bond during a period beginning at the opening of business 15 days before (i) any Interest Payment Date (including any special interest payment date described in the Indenture), or (ii) the day of the mailing of a notice of redemption of Bonds and ending at the close of business on the day of such mailing or such Interest Payment Date, or to transfer or exchange any Bonds selected for redemption, in whole or in part.

The person in whose name any Bond is registered will be deemed and regarded as the absolute owner of such Bond for all purposes, whether or not such Bond shall be overdue, and shall not be bound by any notice to the contrary. All payments of or on account of the principal of and premium and interest on any such Bond will be made only to or upon the written order of the registered owner thereof or his legal representative, and neither the Issuer nor the Trustee will be affected by any notice to the contrary. All such payments will be valid and effectual to satisfy and discharge the liability upon such Bond to the extent of the sum or sums to be paid.

**Book-Entry Only System**

The Depository Trust Company (*"DTC"*), New York, NY, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for the Bonds, in the aggregate principal amount of such issue, and will be deposited with DTC.

DTC, the world's largest depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 2.2 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants (*"Direct Participants"*) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (*"DTCC"*). DTCC, in turn, is owned by a number of Direct Participants of DTC and Members of the National Securities Clearing Corporation, Fixed Income Clearing Corporation and Emerging Markets Clearing Corporation (NSCC, FICC, and EMCC, also subsidiaries of DTCC), as well as by the New York Stock Exchange, Inc., the American Stock Exchange LLC, and the National Association of Securities Dealers, Inc. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (*"Indirect Participants"*). DTC has Standard & Poor's highest rating: AAA. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond (*"Beneficial Owner"*) is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC

mails an Omnibus Proxy to Issuer as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detailed information from Issuer or Trustee, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC nor its nominee, Trustee, or Issuer, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Issuer or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as securities depository with respect to the Bonds at any time by giving reasonable notice to the Issuer or the Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

The Borrower, with the consent of the Issuer, may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the Issuer believes to be reliable, but Issuer takes no responsibility for the accuracy thereof.

## SECURITY AND SOURCES OF PAYMENT FOR THE BONDS

### General

The Bonds are special limited obligations of the Issuer, payable solely from and secured by (i) amounts paid by the Borrower under the Loan Agreement, (ii) an assignment of all of the Issuer's rights (except for Unassigned Rights) under the Loan Agreement, and (iii) a pledge of and security interest in any right, title and interest of the Issuer in and to all moneys and investments held in the funds and accounts established under the Indenture (excluding the Rebate Fund). The Bonds are also secured by the Guaranty and by the Leasehold Mortgage. The obligations of the Borrower under the Loan Agreement are nonrecourse to the Issuer and are enforceable only against the Borrower, the Project and the revenues therefrom. NEITHER THE FULL FAITH AND CREDIT NOR THE TAXING POWER OF THE ISSUER, THE STATE OF ILLINOIS OR ANY POLITICAL SUBDIVISION THEREOF IS PLEDGED TO THE PAYMENT OF THE BONDS. THE ISSUER HAS NO TAXING POWER.

### Rate Covenant

The Borrower and the Guarantors have covenanted and agreed to maintain a fee and rate structure for the Project (together with other revenues of the Borrower and the Guarantors) which will insure that, as of the end of each fiscal year of the Borrower and the Guarantors, the ratio of Income Available for Debt Service for such period to Debt Service Requirements for the same period (the "Debt Service Coverage Ratio"), is not less than 1.25 to 1.0. Such covenant shall be tested annually, based upon the combined audited financial statements of the Borrower and the Guarantors. If the Debt Service Coverage Ratio is less than 1.25 to 1.0, the Borrower and the Guarantors shall retain an Independent Consultant to make recommendations to meet the covenant or, if in the opinion of the Independent Consultant, the attainment of such level is impracticable, to the highest practicable level. If the Borrower and the Guarantors follow such Independent Consultant's recommendations, the failure to achieve the required Debt Service Coverage Ratio will not constitute an Event of Default under the Loan Agreement; provided,

however, that the failure of the Borrower and the Guarantors to have, at the end of any fiscal year, a Debt Service Coverage Ratio for such fiscal year of not less than 1.00 to 1.00 will constitute an Event of Default under the Loan Agreement.

**Guaranty**

Under the terms of the Guaranty, the Guarantors have jointly and severally agreed to make payments of principal of and premium, if any, and interest on the Bonds should revenues derived from the Indenture and the Loan Agreement not be sufficient to make such payments. Certain provisions of the Guaranty are summarized in APPENDIX D.

**Leasehold Mortgage**

As additional security for the obligations of the Borrower under the Loan Agreement for the payment of the Bonds, the Borrower has granted to the Trustee, for the benefit of the Bondholders, a mortgage on the Borrower's leasehold interest in the Project and a security interest in fixtures, equipment and all other personal property at the Project, as evidenced by the Leasehold Mortgage. Certain provisions of the Leasehold Mortgage are summarized in APPENDIX D.

**Funds and Accounts**

Funds and Accounts. The Indenture establishes the following Funds and Accounts in connection with the issuance of the Bonds:

(a) Project Fund;

(b) Expense Fund;

(c) Revenue Fund;

(d) Repair and Replacement Fund;

(e) Interest Fund;

(f) Bond Sinking Fund;

(g) Optional Redemption Fund;

(h) Debt Service Reserve Fund; and

(i) Operation Reserve Fund.

Use of Funds. The Trustee is required to make the following payments or deposits and/or withdrawals in or out of the following funds and accounts:

Project Fund. The Indenture establishes a separate account known as the "Project Fund" (the "Project Fund"), to the credit of which a deposit shall be made as required. Any moneys received by the Trustee from any other source for the acquisition, construction and equipping of the Project shall be deposited in the Project Fund unless otherwise specifically excepted hereunder or unless contrary provision is made in the Loan Agreement. The moneys in the Project Fund shall be held in trust by the Trustee, shall be applied to the payment of the costs of the Project and, pending such application, shall be held as trust funds under the Indenture in favor of the holders of the outstanding Bonds and for the further security of such holders until paid out or transferred.

Expense Fund. The Indenture establishes a separate account to be known as the "Expense Fund" (the "Expense Fund"). A deposit to the credit of the Expense Fund will be made and deposits to the credit of the Expense Fund may be made by the Borrower pursuant to the Loan Agreement. Amounts on deposit in the Expense Fund shall be disbursed upon the written request of the Borrower for the payment of any recording, trustee's and depository's fees and expenses, accounting, advisory and legal fees, financing costs (including costs of acquiring investments for the funds and escrows), and other fees and expenses incurred or to be incurred by or on behalf of the Authority or the Borrower in connection with or incident to the issuance and sale of the Bonds. At such time as the

Trustee is furnished with a written request of the Borrower stating that all such fees and expenses have been paid, and in no event later than June 1, 2008, the Trustee shall transfer any moneys remaining in the Expense Fund to the Project Fund.

Revenue Fund. The Indenture establishes a separate account to be known as the "Revenue Fund." The Loan Agreement requires that the Borrower pay to the Trustee for deposit in the Revenue Fund on or before the last day of each calendar month, commencing in the month following the completion of the Project, all Revenues (as defined in APPENDIX D hereto) remaining after (i) the payment of all operating expenses of the Project for such month; (ii) the payment of all routine maintenance and repair expenditures of the Project for such month, to the extent that they constitute operating expenses; and (iii) the retention of an amount necessary, together with other available funds of the Borrower, to pay (a) the operating expenses of the Project and (b) the routine maintenance and repair expenditures for the Project (to the extent that they constitute operating expenses) for the then next succeeding calendar month. All payments, as and when received by the Trustee, will be deposited in the Revenue Fund and held therein until disbursed as described below. Moneys in the Revenue Fund shall be deposited to the various funds established by the Indenture in the following order of priority:

(a) Interest Fund;

(b) Bond Sinking Fund;

(c) Optional Redemption Fund;

(d) Debt Service Reserve Fund;

(e) Repair and Replacement Fund; and

(f) Operation Reserve Fund.

Repair and Replacement Fund. The Indenture establishes a separate account known as the "Repair and Replacement Fund." The Repair and Replacement Fund shall be available to meet capital expenditures relating to the maintenance and/or repair of the Project. The Repair and Replacement Fund shall be invested at the direction of and for the benefit of the Borrower and shall be funded from Revenues at the rate of (i) $5,000 per quarter, on the first day of each quarter, for 20 consecutive quarters, commencing on January 1, 2009 and thereafter until the amount on deposit therein is equal to $100,000 (the "Repair and Replacement Fund Requirement"). Once the balance in the Repair and Replacement Fund is equal to $100,000, no additional deposits shall be made until the balance of the Repair and Replacement Fund is reduced below $100,000, at which point it shall be funded from deposits to the Revenue Fund at the rate of $5,000 per quarter, until the amounts on deposit in the Repair and Replacement Fund is equal to the Repair and Replacement Fund Requirement. Moneys deposited in the Repair and Replacement Fund shall be disbursed to the Borrower from time to time upon receipt by the Trustee of a Written Request of the Borrower.

Interest Fund. The Indenture establishes a separate account known as the "Interest Fund". Initial deposits shall be made to the Interest as provided in the Indenture to pay capitalized interest on the Bonds through December 1, 2008.*

The Trustee shall deposit to the Interest Fund from Revenue Fund moneys an amount equal to the interest to become due on the Bonds during the current Bond Year. No deposit pursuant to this paragraph need be made, however, to the extent that there is a sufficient amount already on deposit and available for such purpose in the Interest Fund to be applied to all interest payments due in such Bond Year. Moneys on deposit in the Interest Fund and other funds created under the Indenture, must be used to pay interest on the Bonds as it becomes due.

In connection with any partial redemption or defeasance prior to maturity of the Bonds, the Trustee may, at the written request of the Borrower, use any amounts on deposit in the Interest Fund in excess of the amount needed to pay the interest on the Bonds remaining outstanding during the current Bond Year after the date of such redemption or defeasance to pay the principal of and interest on the Bonds to be redeemed or defeased.

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*Preliminary, subject to change.*

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